

The political business cycle



Some economic models tie the business cycle to political factors. In modern democracies, a government only stays in power if it pleases the electorate, so a struggling economy can cost a government the election. Governments, like firms and individuals, are rational and forward-looking: they will do anything that they can to maximize their chances of staying in power. In the run-up to an election, they have a strong incentive to boost the economy.

A government can do this by increasing spending, perhaps on hospitals, schools or infrastructure projects. It can lower taxes to increase people's spending power. It may also cut interest rates to encourage investment. These measures stimulate the economy, but can also store up problems for the future, such as inflation and too high a government budget deficit (see [Budget deficit and surplus](#)). Once power has been secured, policy may

go into reverse – hence, a government's political aims have the potential to generate economic cycles.